



DELHI PUBLIC SCHOOL NEWTOWN
SESSION: 2023-24
HALF YEARLY EXAMINATION

CLASS : X

FULLMARKS : 100

SUBJECT:ECONOMIC APPLICATIONS (SET-A) TIME : 2 HOURS

Answers to this paper must be written on the paper provided separately.

You will not be allowed to write during the first 15 minutes.

This time is to be spent in reading the question paper

The time given at the head of this paper is the time allowed for writing the answers.

**Attempt all questions from Section A and
any four questions from Section B**

The intended marks for questions are given in the brackets [].

This question paper contains eight printed pages.

SECTION A

(Attempt all questions)

Question1.

[20]

Choose the correct answer to the questions from the given options.

(Do not copy the question, write the correct answers only.)

- i Assertion (A): Complementary goods have joint demand.**
Reasoning (R): Complementary goods are demanded simultaneously to satisfy a particular want.
- (a) Both A and R are true and R is the correct explanation of Assertion A**
 - (b) Both A and R are true and R is not the correct explanation of A**
 - (c) A is true but R is false**
 - (d) A is false but R is true**
- ii Which one of these is not an example of substitute goods ?**
- (a) Tea and Coffee**
 - (b) Coke and Pepsi**
 - (c) Ink pen and Ball pen**
 - (d) Bread and Butter**

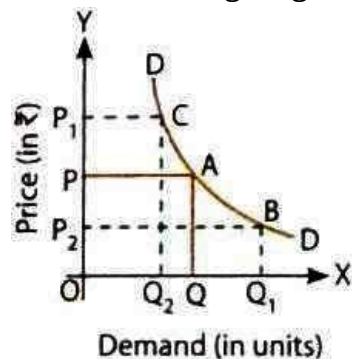
iii Due to installation of a machine with latest technology, the cost of production has decreased. It will lead to:

- (a) Expansion in supply
- (b) Increase in supply
- (c) Contraction in supply
- (d) Decrease in supply

iv Ceteris paribus means:

- (a) Holding supply constant
- (b) Holding demand constant
- (c) Price being constant
- (d) Other factors being constant

v What does the following diagram represent ?



- (a) Change in Demand
- (b) Change in Quantity Demanded
- (c) Both (a) and (b)
- (d) Neither (a) nor (b)

vi Which factor of production is connected to this ?



- (a) Capital
- (b) Entrepreneur
- (c) Landlord
- (d) Labour

- vii The government of India is the single buyer of Warships and other Warheads. Identify the market form.
- (a) Monopoly
 - (b) Oligopoly
 - (c) Monopolistic competition
 - (d) Monopsony
- viii Extraction of mineral and metal from the earth is:
- (a) Agriculture
 - (b) Transportation
 - (c) Mining
 - (d) Sustainable development
- ix Which of the following market types has all firms selling products so identical that buyers do not care from which firm they buy ?
- (a) Perfect competition
 - (b) Oligopoly
 - (c) Monopolistic competition
 - (d) Monopoly
- x If quantity supplied increases by 60% due to a 50% rise in price then elasticity of supply is:
- (a) (-) 1.2
 - (b) (+)1.2
 - (c) (-)0.83
 - (d) (+)0.83
- xi Which of the following is true?
- A) In case of Giffen goods, demand curve slope upwards.
 - B) If a household buys more of a commodity due to rise in income, then the given commodity must be an inferior one.
 - C) 'Ceteris paribus' clause in the law of Demand means that the price of the given commodity does not change.
 - D) Size and composition of population affects market demand.
- (a) A and D
 - (b) B and C
 - (c) C and D
 - (d) A and B
- xii The boring machines used in the construction of the channel tunnel is an example of:
- (a) Sunk capital
 - (b) Floating capital
 - (c) Business capital
 - (d) Personal capital

- xiii Identify the correct sequence of alternatives given in Column II by matching them with respective terms in Column I:**

Column I	Column II
a. Cause behind upward movement along a demand curve	i. Increase in income of consumer
b. Cause behind rightward shift of demand curve	ii. Rise in price of commodity
c. Cause behind downward movement along demand curve	iii. Constant income of consumer
d. Assumption of law of demand	iv. Fall in price of commodity

Choose the correct Alternative:

- (a) a(iv), b(ii), c(i), d(iii)**
 - (b) a(iii), b(iv), c(i), d(ii)**
 - (c) a(ii), b(i), c(iv), d(iii)**
 - (d) a(ii), b(iv), c(i), d(ii)**
- xiv If the prices of factors of production increases, then the supply will:**
- (a) Decrease**
 - (b) Increase**
 - (c) Zero**
 - (d) None of the above**
- xv In economics, price and demand have relationship.**
- (a) Zero**
 - (b) Positive**
 - (c) Direct**
 - (d) Inverse**
- xvi Capital as a factor of production is not..... in nature.**
- (a) Durable**
 - (b) Perishable**
 - (c) Immobile**
 - (d) Limited**
- xvii Which of the following is a nature process that is accelerated by mining?**
- (a) Habitat destruction**
 - (b) Erosion**
 - (c) Tunnel collapse**
 - (d) All of the above**

- xviii Which of the following is an example more of a physical labourer ?
- (a) Construction worker
 - (b) Teacher
 - (c) Advisor
 - (d) Professor
- xix The skills of people who are willing to invest time and money to run a business is called:
- (a) Labour
 - (b) Land
 - (c) Capital
 - (d) Entrepreneurship
- xx What type of relationship exist between the price and quantity supplied ?
- (a) Positive
 - (b) Negative
 - (c) Constant
 - (d) No relationship

Question 2.

- (i) Explain any one impact of each of the following on the ecosystem: [2]
- (a) Construction of dams
 - (b) Dwelling houses
- (ii) With reference to land as a factor of production: [2]
- (a) Why is it considered as a 'passive' and an 'indestructible' factor of production ?
- (iii) "Capital is the result of past labour." Briefly explain. [2]
- (iv) Classify the following with reason into fixed and working capital : [2]
- (i) A television set in a hotel room,
 - (ii) Iron ore in a steel plant.
- (v) Identify the market forms of the following:
- a) Railways in India.
 - b) Textile industry in India. [2]
 - c) Perfectly elastic demand.
 - d) Shampoos

Question 3.

- (i) "Petrol is becoming cheaper, yet the demand for cars is not rising." Does it mean that the law of demand is not operative ? [2]

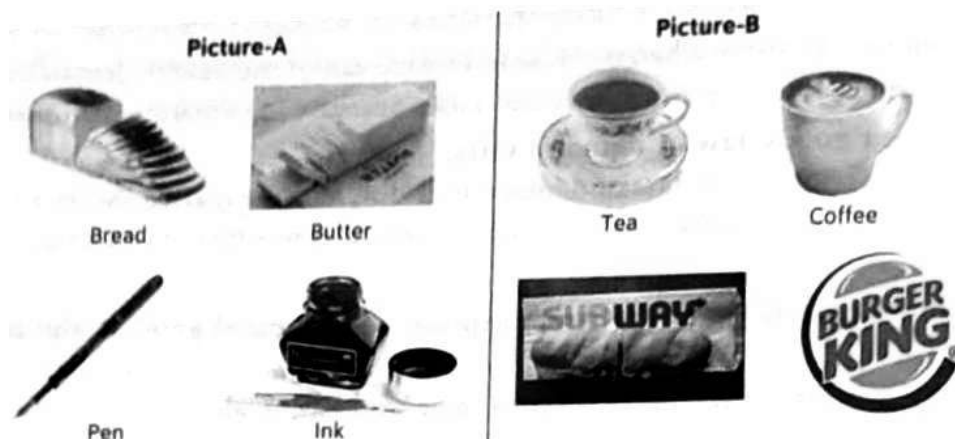
(ii) Complete the following table

[2]

Price (₹)	Ram (Units)	Sohan (Units)	Mohan (Units)	Market Demand (Units)
3	7	(a)	8	20
4	6	4	(b)	16
5	4	3	3	(c)
6	(d)	2	1	5

(iii)

[2]



Identify the type of goods as represented in the pictures above. Also, explain the effect of rise in price of each good on demand curve.

(iv) When price of rice is ₹ 10 per kg, its demand is 100 kg. When price rises by ₹ 10 per kg., its demand falls by 20 kg. [2]

- Calculate the elasticity of demand.
- Is the demand elastic or inelastic.

(v) Classify the following as causing change in quantity supplied or change in supply: [2]

- With rise in market price of cashew nuts its supply also rises.
- With improvement in technique of production, supply of mobile phones increases.
- Rise in (production related) taxes.
- Due to fall in price of dates, its production reduces.

SECTION – B

(Answer any four questions from this Section)

Question 4.

(i) Efficiency of labour is influenced by working conditions. [7]

- What do you mean by efficiency of labour?
- Explain any four causes of low efficiency of Indian labourer.

(ii)

[8]



With reference to the picture, what do mean by ‘division of labour’ ?
Explain any three advantages of this situation.

Question 5.

- (i) What is productivity of land? Discuss the following factors affecting the productivity of land. [7]
- (a) Natural fertility of land.
 - (b) Investment on land.
 - (c) Security of tenancy.
 - (d) Location
- (ii) Explain the following characteristics of Land: [8]
- (a) Supply of land is fixed
 - (b) Production of land is costless
 - (c) Land is heterogeneous
 - (d) Law of diminishing marginal returns

Question 6.

- (i) What is capital formation ? Explain any four determinants of capital formation in India. [7]
- (ii) Who is an entrepreneur ? Explain three functions of an entrepreneur. [8]

Question 7.

- (i) What do you understand by demand ? With the help of diagrams explain the conditions when : (i) $E_p > 1$, (i) $E_p < 1$, (i) $E_p = 1$. [7]
- (ii) Explain four circumstances under which the law of demand does not operate. [8]

Question 8.

- (i) (a) What is meant by Elasticity of demand ? [7]
(b) Explain the following Factors affecting elasticity of demand.
(i) Existence of substitutes
(ii) Role of habits
(iii) Durability of the good
(iv) Possibility of postponing consumption
- (ii) Distinguish between the movement along any supply curve and the shift of the supply curve with suitable diagram. [8]

Question 9.

- (i) (a) What is meant by monopoly ? Discuss the features of monopoly. [7]
- (ii) Answer the following question based on the following passage. [8]
XYZ Clothing Store is a small retail shop that sells trendy clothing for teenagers. The store is located in a busy shopping district where several other clothing stores operate. In this market structure, there are many sellers offering similar but differentiated products, and each firm has a small market share.
(a) Explain any four features to which market it is relevant.